

$$1) \quad x_1, \dots, x_n | \mu, \sigma^2 \sim \text{IDN}(\mu, \sigma^2)$$

$$\sigma^2 \sim \text{IG}(a, b)$$

$$\mu | \sigma^2 \sim N(0, c\sigma^2)$$

The posterior distribution $\pi(\mu, \sigma^2 | x_1, \dots, x_n)$ is given by

$$\begin{aligned} \pi(\mu, \sigma^2 | x_1, \dots, x_n) &= \pi(x_1, \dots, x_n | \mu, \sigma^2) \pi(\mu, \sigma^2) \\ &= \pi(x_1, \dots, x_n | \mu, \sigma^2) \pi(\mu | \sigma^2) \pi(\sigma^2) \end{aligned}$$

$$\begin{aligned} &\propto (\sigma^2)^{-n/2} \exp\left[-\frac{1}{2} \frac{\sum_{i=1}^n (x_i - \mu)^2}{\sigma^2}\right] (\sigma^2)^{-1/2} \exp\left[-\frac{\mu^2}{2c\sigma^2}\right] \\ &\quad \times (\sigma^2)^{-a-1} \exp\left[-\frac{b}{\sigma^2}\right] \end{aligned}$$

$$= (\sigma^2)^{-a - \frac{n}{2} - \frac{1}{2}} \exp\left[-\frac{1}{\sigma^2} \left(\frac{\sum_{i=1}^n (x_i - \mu)^2}{2} + \frac{\mu^2}{2c} + b \right)\right]$$

$$= (\sigma^2)^{-\underbrace{\left(\frac{2a+n+1}{2}\right)}_A - 1} \exp\left[-\frac{1}{\sigma^2} \underbrace{\left(\frac{\sum_{i=1}^n (x_i - \mu)^2}{2} + \frac{\mu^2}{2c} + b \right)}_B\right]$$

This is the kernel of an Inverse Gamma distribution with shape $A = a + \frac{n}{2} + \frac{1}{2}$

$$\& \text{ rate } B = \frac{\sum_{i=1}^n (x_i - \mu)^2}{2} + \frac{\mu^2}{2c} + b$$

To find the marginal posterior $\pi(H | x_1, \dots, x_n)$ we integrate over σ^2

$$\pi(H | x_1, \dots, x_n) \propto \int_0^\infty (\sigma^2)^{-(a + \frac{n+1}{2})-1} \exp\left[-\frac{B}{\sigma^2}\right] d\sigma^2$$

$$= \int_0^\infty (\sigma^2)^{-A-1} \exp\left[-\frac{B}{\sigma^2}\right] d\sigma^2$$

$$\propto B^{-A}$$

$$= \left(\sum_{i=1}^n \frac{(x_i - H)^2}{2} + \frac{H^2}{2c} + b \right)^{-(a + \frac{n+1}{2})-1}$$

$$= \left(\sum_{i=1}^n \frac{(x_i - H)^2}{2} + \frac{H^2}{2c} + b \right)^{-\frac{(2a + n + 1)}{2}}$$

It is similar to the kernel of Student's t distribution with degrees of freedom $2a + n + 1$

The posterior predictive distribution of x_{n+1} , i.e. $\pi(x_{n+1} | x_1, \dots, x_n)$ is given by

$$PPD = \pi(x_{n+1} | x_1, \dots, x_n)$$

$$= \int_0^\infty \int_{-\infty}^\infty \pi(x_{n+1} | H, \sigma^2) \pi(H, \sigma^2 | x_1, \dots, x_n) dH d\sigma^2$$

$$\propto \int_0^\infty \int_{-\infty}^\infty (\sigma^2)^{-1/2} \exp\left[-\frac{(x_{n+1} - H)^2}{2\sigma^2}\right] (\sigma^2)^{-(a + \frac{n+1}{2})-1} \times \exp\left[-\frac{1}{\sigma^2} \left(\sum_{i=1}^n \frac{(x_i - H)^2}{2} + \frac{H^2}{2c} + b \right)\right] d\sigma^2 dH$$

$$= \int_{-\infty}^{\infty} \int_{-\infty}^{\infty} (e^{-z})^{-(q+\frac{n}{2}+1)-1} \exp\left[-\frac{1}{2\sigma^2} \left(\frac{\sum_{i=1}^{n+1} (x_i - \mu)^2}{2} + \frac{\mu^2}{2c} + b \right)\right] d\mu$$

$$\propto \int_{-\infty}^{\infty} \left(\frac{\sum_{i=1}^{n+1} (x_i - \mu)^2}{2} + \frac{\mu^2}{2c} + b \right)^{-\frac{(2q+n+2)}{2}} d\mu$$

$$2) X_1, \dots, X_m | \mu_1, \sigma^2 \stackrel{\text{i.i.d.}}{\sim} N(\mu_1, \sigma^2)$$

$$Y_1, \dots, Y_n | \mu_2, \sigma^2 \stackrel{\text{i.i.d.}}{\sim} N(\mu_2, \sigma^2)$$

$$\sigma^2 \sim \text{IG}(a, b)$$

$$\mu_1, \mu_2 | \sigma^2 \stackrel{\text{i.i.d.}}{\sim} N(0, c\sigma^2)$$

$$\text{So, } \mu_1 - \mu_2 | \sigma^2 \sim N(0, 2c\sigma^2)$$

The posterior distribution $\pi(\mu_1 - \mu_2, \sigma^2 | X_1, \dots, X_m, Y_1, \dots, Y_n)$ is given by

$$\pi(\mu_1 - \mu_2, \sigma^2 | X_1, \dots, X_m, Y_1, \dots, Y_n) = \pi(X_1, \dots, X_m | \mu_1, \sigma^2) \\ \times \pi(Y_1, \dots, Y_n | \mu_2, \sigma^2) \pi(\mu_1 - \mu_2, \sigma^2)$$

$$\propto (\sigma^2)^{-m/2} \exp\left[-\frac{\sum_{i=1}^m (x_i - \mu_1)^2}{2\sigma^2}\right] (\sigma^2)^{-n/2} \exp\left[-\frac{\sum_{j=1}^n (y_j - \mu_2)^2}{2\sigma^2}\right] \\ \times (\sigma^2)^{-1/2} \exp\left[-\frac{(\mu_1 - \mu_2)^2}{4c\sigma^2}\right] \times (\sigma^2)^{-a-1} \exp\left[-\frac{b}{\sigma^2}\right]$$

$$= (\sigma^2)^{\underbrace{\left(-\frac{m}{2} - \frac{n}{2} - \frac{1}{2} - a\right)}_A - 1} \exp\left[\underbrace{\left(-\frac{\sum_{i=1}^m (x_i - \mu_1)^2}{2} - \frac{\sum_{j=1}^n (y_j - \mu_2)^2}{2} - \frac{(\mu_1 - \mu_2)^2}{4c} - \frac{b}{\sigma^2}\right)}_B\right]$$

This has same kernel as an Inverse Gamma Distribution with shape $\alpha = a + \frac{m+n+1}{2}$

$$\&B = \sum_{i=1}^m \frac{(x_i - \mu_1)^2}{2} + \sum_{j=1}^n \frac{(y_j - \mu_2)^2}{2} + \frac{(\mu_1 - \mu_2)^2}{4c} + b$$

To find $\Delta(\mu_1, \mu_2 | x_1, \dots, x_m, y_1, \dots, y_n)$
we integrate over σ^2

$$\Delta(\mu_1, \mu_2 | x_1, \dots, x_m, y_1, \dots, y_n) = \int_0^\infty (\sigma^2)^{-A-1} \exp\left(-\frac{B}{\sigma^2}\right) d\sigma^2$$

$\propto$

$$= \left(\sum_{i=1}^m \frac{(x_i - \mu_1)^2}{2} + \sum_{j=1}^n \frac{(y_j - \mu_2)^2}{2} + \frac{(\mu_1 - \mu_2)^2}{4c} + b \right)^{-\frac{(2a+2m+1)}{2}}$$

Assuming Ridding $m=n$

$$= \left(\sum_{i=1}^m \frac{(x_i - \mu_1)^2}{2} + \sum_{i=1}^m \frac{(y_i - \mu_2)^2}{2} + \frac{(\mu_1 - \mu_2)^2}{4c} + b \right)^{-\frac{(2a+2m+1)}{2}}$$

$$= \left(\sum_{i=1}^m \frac{(x_i - \mu_1)^2 + (y_i - \mu_2)^2}{2} + \frac{(\mu_1 - \mu_2)^2}{4c} + b \right)^{-\frac{(2a+2m+1)}{2}}$$

It is similar to the kernel of student's t distribution with degrees of freedom $2a+2m+1$.

Q 3) $X_1, \dots, X_m \overset{\text{IID}}{\sim} \text{Poisson}(\lambda_1)$

$Y_1, \dots, Y_n \overset{\text{IID}}{\sim} \text{Poisson}(\lambda_2)$

$\lambda_1, \lambda_2 \overset{\text{IID}}{\sim} \text{Gamma}(a, b)$

$\pi(\lambda_1, \lambda_2 | X_1, \dots, X_m, Y_1, \dots, Y_n)$

$\propto \lambda_1^{\sum_{i=1}^m x_i} \exp(-m \sum_{i=1}^m x_i) \lambda_2^{\sum_{j=1}^n y_j} \exp(-n \sum_{j=1}^n y_j)$
 $\lambda_1^{a-1} \exp(-b \lambda_1) \lambda_2^{a-1} \exp(-b \lambda_2)$

$= \lambda_1^{a + \sum_{i=1}^m x_i - 1} \exp(-(m+b) \sum_{i=1}^m x_i) \lambda_2^{b + \sum_{j=1}^n y_j - 1} \exp(-(b+n) \lambda_2)$

$= \pi(\lambda_1 | X_1, \dots, X_m) \pi(\lambda_2 | Y_1, \dots, Y_n)$

$\lambda_1 | X_1, \dots, X_m \sim \text{Gamma}(a + \sum_{i=1}^m x_i, b+m)$

$\lambda_2 | Y_1, \dots, Y_n \sim \text{Gamma}(a + \sum_{j=1}^n y_j, b+n)$

Assuming $b = m = n$

$O = \lambda_1 / (\lambda_1 + \lambda_2) \sim \text{Beta}(a + \sum_{i=1}^m x_i, a + \sum_{j=1}^n y_j)$

$$4) \quad X_1 \sim N(0, 1) \\ X_{t+1} | X_t \sim N(\rho X_t, 1 - \rho^2) \\ t = 1, 2, \dots, T$$

$$\rho \sim \text{Uniform}(-1, 1)$$

$$\pi(x_1, \dots, x_T | \rho) = \pi(x_T | x_1, \dots, x_{T-1}, \rho) \\ \times \pi(x_1, \dots, x_{T-1} | \rho)$$

$$\vdots \\ = \pi(x_T | x_1, \dots, x_{T-1}, \rho) \pi(x_{T-1} | x_1, \dots, x_{T-2}, \rho) \\ \dots \pi(x_1 | \rho)$$

$$= \prod_{t=2}^T \pi(x_t | x_1, \dots, x_{t-1}, \rho) \pi(x_1)$$

$$= \prod_{t=2}^T \pi(x_t | x_{t-1}, \rho) \pi(x_1)$$

$$\propto (1 - \rho^2)^{-\frac{(T-1)}{2}} \exp\left[-\frac{\sum_{t=2}^T (x_t - \rho x_{t-1})^2}{2(1 - \rho^2)}\right] \exp\left[-\frac{x_1^2}{2}\right]$$

$$= (1 - \rho^2)^{-\frac{(T-1)}{2}} \exp\left[-\frac{1}{2} \left(\sum_{t=2}^T \frac{(x_t - \rho x_{t-1})^2}{1 - \rho^2} + x_1^2 \right)\right]$$

The posterior distribution $\pi(\rho | x_1, \dots, x_T)$ is given by

$$\pi(\rho | x_1, \dots, x_T) \propto (1 - \rho^2)^{-\frac{(T-1)}{2}} \exp\left[-\frac{1}{2} \left(\sum_{t=2}^T \frac{(x_t - \rho x_{t-1})^2}{1 - \rho^2} \right)\right] \\ \times I(\rho \in [-1, 1])$$

$$= (1 - \rho^2)^{-\frac{(T-1)}{2}} \exp\left[-\frac{1}{2} \left(\sum_{t=2}^T \frac{(x_t - \rho x_{t-1})^2}{1 - \rho^2} \right)\right] I(\rho \in [-1, 1])$$

the posterior predictive density is given by

$$\pi(x_{T+1}, x_{T+2} | x_1, \dots, x_T) = \int_{-1}^1 \pi(x_{T+1}, x_{T+2} | \rho) \pi(\rho | x_1, \dots, x_T) d\rho$$

$$\propto \int_{-1}^1 (1-\rho^2)^{-\frac{1}{2}} \exp\left[-\frac{(x_{T+2}-\rho x_{T+1})^2}{2(1-\rho^2)} - \frac{(x_{T+1}^2 - \rho x_T)^2}{2(1-\rho^2)}\right] \\ \times (1-\rho^2)^{-\frac{(T-1)}{2}} \exp\left[-\sum_{s=2}^T \frac{(x_s - \rho x_{s-1})^2}{2(1-\rho^2)}\right] d\rho$$

$$= \int_{-1}^1 (1-\rho^2)^{-\frac{(T+1)}{2}} \exp\left[-\frac{1}{2} \left(\sum_{s=2}^{T+2} \frac{(x_s - \rho x_{s-1})^2}{2(1-\rho^2)}\right)\right] d\rho$$